

One data centre or one million homes? Mapping Ontario's proposed hyperscaler boom | Canada's National Observer

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Ian Thompson wakes up every morning to feed his chickens; though he lives just an hour outside of Toronto, he holds onto these more rural aspects of life: chickens, gardening, no gridlock traffic. But the town he remembers from decades ago is quickly disappearing. Now one of the fastest-growing municipalities in Canada, his town of Milton is being eyed for something beyond housing development: two proposed data centres that together would require a city's worth of electricity, the equivalent of a million homes. Though the projects would put pressure on the grid, potentially raise electricity rates and require an undisclosed amount of water, Thompson — part of the environmental group Sustainable Milton — was unaware of them. This lack of transparency has left Thompson and other local residents trying to investigate, mirroring the experiences of other communities in Ontario. Even in Toronto, an Etobicoke city councillor wasn't aware of a planned data centre until he was contacted by the CBC. Because data centres don't need to go through a provincial consultation process, there is no one place to see what projects could be coming down the pipe. Unlike in Alberta, Ontario's energy regulator, the Independent Electricity System Operator (IESO), does not publish the locations of data centres vying for electricity. When asked, it refused to provide a comprehensive list of projects, citing "commercial sensitivities." So, Canada's National Observer found and drew from multiple sources to put together a map of planned data centres in Ontario, and found at least 15 projects with a combined capacity of 2,202 MW currently proposed — equating to the annual electricity draw of around two million homes — for data centres alone. The map reveals that small towns in Ontario are in the crosshairs of a global race to build infrastructure for artificial intelligence. The AI boom is driving demand for far larger, hyperscale data centres that would dwarf the nearly 100 data centres currently in the province, some of which draw just 1 MW. And this is only the beginning: the province says there is interest in developing as much as 6,500MW worth of new data centres in the province — about 30 per cent of Ontario's current peak electricity load — and that they are expecting data centres to make up 13 per cent of new electricity demand by 2035. Though Alberta is seen as Canada's data centre darling, researcher Simon Enoch of the Canadian Centre for Policy Alternatives said Ontario is actually "ground zero for the data investment boom in Canada" due to its proximity to Bay Street, the relatively cheap electricity the province has on offer (about half the cost of power in New York City) and its access to water. "This map confirms that," he said. "Data centres are coming to Ontario, and it's sort of incumbent on people and governments and communities to understand: what does that mean? What are the costs?"

What are the benefits?” This is a key moment for those questions, Enoch explained. Bill 40, also known as the Protect Ontario by Securing Affordable Energy for Generations Act, passed in December of last year. Part of its intention is to support the “responsible growth of energy-intensive industries like data centres and that align with Ontario’s economic priorities and benefit local communities.” Now that the bill has passed, regulations are being drafted that will establish how data centres are approved, determining the future of Ontario’s energy demand. The eventual regulations will empower the minister of energy and mines to allow data centre projects “that serve the province’s economic interests” to connect to the grid, according to a notice published on the provincial government’s environment registry. The province did not respond to requests for comment from Canada’s National Observer, but in a committee meeting, Energy and Mines Minister Stephen Lecce said, “Of course, we welcome data centre entrants in the province.” He said Bill 40 enables a needed shift that will prioritize projects that host domestic data and provide local benefit while “protecting ratepayers.” He spoke of the need to protect megawatts from “the potential abuse of foreign actors” who are coming to Canada, “because they love our country and our values.” “They are coming because our climate is cool — beautiful for a data centre; lots of lakes and affordable power on a relative basis; among one of the most affordable in the Great Lakes region — and because of our STEM graduates, our intellectual capacity and property,” said Lecce. Multiple sources told Canada’s National Observer that providing Doug Ford’s government with a ministerial trump card gives them little faith that the data centre industry will be built out in a way that serves communities and the people that live in them. Since coming into power, Ford has made ministerial zoning orders the norm — a provision that allows the province to greenlight development, regardless of local planning and land use rules. Colin Best, a longtime councillor in Milton, said he is hopeful that the data centre regulations will include protections for ratepayers and municipal governments, who don’t want to shoulder the financial and environmental burdens that come with the projects. But still, he is concerned. Speaking from a Tim Hortons in Milton in between meetings, he says, “ministers are making arbitrary decisions without consulting municipalities.” Municipalities and data centres Signs of growth are everywhere as Thompson drives around Milton. On the road towards Thompson’s house, a large sign with a nuclear family smiling in a forest is foregrounded with an advertisement for “Singles & Towns, coming soon.” He has seen farmland fade into single-family housing, as well as warehouses and distribution centres — the outskirts of Milton is a sea of them. The town, now home to about 150,000 residents, is expected to swell to 400,000 by the 2050s. There’s also the natural gas plant, which, on a cold afternoon in Feb., was actively burning gas to supplement the strained electrical grid. Neighbouring it is about 60 hectares of farmland being advertised specifically for a hyperscale data centre. A commercial real estate company describes it as “one of the last available parcels of its scale in the Greater Toronto Area” and says its proximity to critical infrastructure “offers an exceptional opportunity for developers in Ontario’s expanding data center and industrial sectors.” That parcel appears to have been explored by a little-known American-based company, Logistics Land Investments — owned by the real estate developer TPA Group — which is proposing the largest data centre ever built in the province in Milton: 720 MW. This is more energy than an average natural gas plant produces. As of now, data centres go through the IESO, a Crown corporation responsible for planning Ontario’s energy supply. Data centres request a connection to the grid, which, under current regulations, are awarded on a first-come, first-served basis. Sometime in February, Logistics Land Investments’ application went from being “active” to “on hold.” The company ignored multiple requests from Canada’s National Observer to learn more about the project, but during an interview in mid-January, an IESO subject matter expert said the list of companies currently requesting grid connection, including Logistics Land Investments, have already gone through significant planning efforts. That same company is proposing a mammoth 1,200MW data centre in the city of Bessemer, Ala. It drew a public backlash after getting the mayor, council members and city attorney to sign non-disclosure agreements about the project. Canada’s National Observer found no public evidence that the firm has ever built a hyperscale data centre or even owns the land — but securing zoning and power access may

be enough to attract a major client. While Milton has “no active applications for a data centre,” the town has been approached by Logistics Land Investments, said Jill Hogan, Milton’s commissioner of development services. She describes some “cowboyish” developers coming to Milton, talking up its proximity to Toronto and showing the town pictures of data centres in Arizona and elsewhere in the United States. They claimed they’d even already secured the necessary power. “It’s almost like they were coming in hot and like, ‘can we do this now?’” she said. But Hogan said the town pushed back, and said it would require a data centre-specific rezoning of the industrial property the company was eyeing. A rezoning process would bring the proposal to council, making it public. Since Hogan told Logistics Land Investment that, there’s been radio silence. She said the planning department has questions about how beneficial a data centre would be for the community, and about the stress it would put on the electricity grid. In Milton, they’ve already had difficulty powering some larger industrial users that use automated refrigerant systems, for example. “We’re a very high-growth municipality. So that was also part of my hesitation on the data centre, or wanting to understand things more. Because, you know, we have housing targets we need to meet,” she said. “And it’s great approving housing plans, but if people can’t flush their toilets, turn their lights on — You know, what’s the point?”

Bill 40 As regulations from the province’s Bill 40 remain in limbo, municipalities like Milton are left grappling with projects on an unprecedented scale. And they’re all approaching the problem differently. The town of Napanee, where a 250 MW data centre is proposed, is considering changing its zoning laws to allow for data centres in industrial parcels. In Hamilton, a 180 MW data centre is proposed as part of a larger industrial park development. There is a balancing act taking place: municipalities want support from the provincial government to understand and accommodate potential impacts from data centres, but want to be left to decide whether they’re the right thing for their own communities. During a standing committee meeting debating Bill 40, Karen Nesbitt, the director of policy and government relations at the Association of Municipalities of Ontario (AMO), said the bill is lacking measures that “ensure local approvals and local benefits.” The association, which says it supports Bill 40 writ large, recommended that the province write regulations that allow municipalities to decide for themselves whether to allow data centres. The concerns raised by AMO come as the United States’ data centre boom is set to cause electricity bills to rise by about eight per cent by 2030, and up to 25 per cent in hotspots such as Virginia. Electricity rates are regulated in Virginia, like in Ontario, “so that’s not a protection,” said Enoch — those protections aren’t enough to ensure costs won’t be passed down to customers. He notes that Bill 40 has a provision to allow for the province to pay for transmitters out of the provincial budget, which “may be the government’s way of potentially trying to protect ratepayers, although it raises a whole host of transparency problems.” Enoch says Ontario, which is currently prioritizing natural gas development, could “see a scenario where, effectively, the government is just subsidizing these facilities. ... Maybe ratepayers aren’t seeing their rates go up, but collectively, we’re all seeing taxes go up.” ‘There doesn’t seem to be a plan.’

Concerns about Bill 40 were also raised by Liberal MPP Ted Hsu during a standing committee meeting in Dec. of last year, where he suggested amendments that he said would define economic growth in a more tangible way, prioritize local job creation and increase transparency once data centre approvals were awarded. One amendment, he explained, would require the minister to say why one particular project was approved over another. “We want the rationale to be transparent, and we don’t want it ever to be hidden in the party back rooms or sidebar conversations and fundraisers, things like that,” said Hsu, who pointed to examples like the Greenbelt scandal, when Ford favoured developers with political access, and the Skills Development Fund controversy, which the Auditor General criticized as having a bias and “troubling” process for awarding funds. During a standing committee meeting late last year, NDP MPP Jamie West pressed Lecce on transparency, ministerial control and water use, which would be a particular concern if data centres were proposed in areas that rely on groundwater. While many of the data centres proposed rely on water from Lake Ontario, there are two upcoming data centres totalling 90 MW (or the equivalent annual electricity used by up to 90,000 homes) in the city of Cambridge, which relies mostly on groundwater. West told Canada’s National Observer that, “there doesn’t

seem to be a plan. There seems to be an ideology. ‘Data centers are good,’ you know, so ‘we’re going to do this, and we will be world leaders in data centres.’” If the town of Milton ends up being a hot spot for those projects, Thompson wonders how life will change. Right now, one of Sustainable Milton’s main focuses is community gardens. He drives to a pollinator garden they created, which in the dead of winter doesn’t look like much, but to him, represents a shift. Even as the town booms and the community grows more fragmented, he’s seen newcomers and longtime residents come together in those spaces. Now, Thompson said the group will have to broaden its scope — that one of its obligations will be to put data centres and the potential risks that come with them on the community’s radar. But for now, following an afternoon driving around looking at data centre lots, housing developments and warehouses, he heads home to feed the chickens. To convert the MW required for data centres into homes, we made several assumptions. We calculated the average annual electricity use per home from an Ontario Energy Board announcement which states homes use 700 kWh per month, which equates to 8.4MWh per year. We assumed that the data centres are being used for AI at a high constant load (~90%), where 1MW = 7,884 MWh/year. Given this, we used a rule of thumb of 1MW equating to the annual electricity use of 1000 typical homes in Ontario. We updated the references comparing the MW of data centres to the electricity used by homes to make clear that we are considering annual total electricity used rather than peak load (see Methodology). Comments Comments are now closed. Canada’s National Observer has made the decision to close its comments section. Thank you to everyone who participated over the years. You can still reach us at or find us on Bluesky and YouTube. No surprise that Ford is burying decisions in Ministers’ offices. It’s the way the Cons roll in every province stuck with wannabe dictators who only want to favour their friends. Ford doesn’t give a rat’s ass about local municipalities and their communities. He welds a club when it comes to “municipal affairs”. He and his voters have such lack of insight or concern for their own children and grandchildren, who IF THEY ARE LUCKY, might get to be repair people or janitors. There’s not enough \$\$\$ in the world to buffer the short sightedness of the 0.1% from the pending disaster of AI. Their self interest drives them. Every. Single. Time. The water shortages and supply issues will fall on the rest of Ontario. The “Golden Horseshoe” will become a hellscape. Ask people in New Mexico, Arizona & Virginia! This is also a TRAP being set by the tech billionaires and their hedge fund buddies. Premiers like Ford, Smith, Moe, won’t see the end game but they’re definitely being played. Pathetic “...pending disaster of AI.....hellscape...” Please stop this uninformed, unnecessary kneejerk rhetoric. The researchers at Carbon Brief use AI on a daily basis to refine their climate science. Many legit uses for AI are in practice in many different organizations that do society a lot if good, such as medical science. Some hellscape. Elon Musk does not and never will control the world with robots. There are some appropriate and beneficial applications of “AI” (actually Large Language Models), but these are far outnumbered by unnecessary and damaging uses. Environmental impacts. Cost impacts. Social impacts. Erosion of critical thinking skills. Etc. Etc. Of course. Enter regulation and monitoring. And on-site renewable energy (those are awfully big roofs with huge solar potential...) combined with an expanded regional and national clean grid. AI can be a tool to aid critical thinking by shortening time consuming rote data research, which still requires critical thinking to determine the validity of the end results. Replacing critical thinking with AI-generated research, reports, essays, visuals and so forth can be a problem without rules. Universities, institutions and so forth need to get on top of that. Ironically, it may take AI to weed out AI-generated bytes and bots. AI can be misused and weaponized in the absence of regulation or consequences for violations. Government is behind the curve on that. Rather than heeding the uninformed voices calling to ban AI or whatever, based on fear, decision makers need to get cracking on determining the utility and potential abuse of new tech, like AI. Then build some rules. Problem being the same as with any programming: garbage in, garbage out. Neural networks don’t work like a lot of folks seem to think they work. There’s rather a lot of stuff out there about individuals who helped develop it cautioning the speed with which it’s being adopted, and its lack of limits. Anthropic was one that placed some restrictions on its software, as there were areas it couldn’t count on

being able to remedy. Trump fired ‘em, and hired Sam Altman’s company. Sam Altman talks a good line, but seems not to walk the talk. And he bluffs. I don’t know how one builds rules that force AI to stay in its lane. Based on what the originator of neural networks has said, I’m not sure it can be done. Europe’s certainly got some limits set on it that we’d be wiser to adopt than the US models. It seems to me like Dougie’s gone shopping, hoping to buy at least one of every kind ... Time to talk to the people who understand AI and its capabilities. And to realize that none of its designers have yet been able to (a) get them to deal with fact only (all information is equal), or (b) limit its tentacles either in scarfing up info or in safeguarding people (from anything, including itself and its “decisions.”) But when it comes to their outrageous need for water and electricity, they ought to be told that they’ll have to supply their own. I sure as hll *can’t afford to pay more for either utility. Toronto sent Big Tech packing when it decided to build its own little digitized surveillance city – and tax the residents as though it were a country unto itself, while it scarfed up all the data possible from its tenants, which it would own. And now there’s this big Jackass In Charge, thinking everything he doesn’t understand is just the newest, best thing, that he and his buds should get a piece of. What a sht show.* Large industrial users of electricity should be required to generate their own, renewable sources, on the property holding their facilities. In fact, we all should be doing so. “Because data centres don’t need to go through a provincial consultation process” That needs to change. They should need to go through both local and provincial consultation, assessment and approvals processes. And if there’s not agreement, there should be recourse to a federal agency. The safeguards will necessarily have to be federal, since the digital world being what it is, an installation in Ontario doesn’t just harvest and process information domiciled in Ontario. Etc. The genuine challenges of AI-based data centres are described very well in this informative piece. AI is becoming a vital tool. To serve society better it needs to be physically regulated and its content subjected to Canadian laws like the Charter. Planning, zoning, energy consumption, emissions, community impacts, etc., these are the areas that need to be opened up to public scrutiny. Just because it’s a work in progress doesn’t mean it should be exempted from oversight. And privacy rights. Once data centres are up and running, they employ surprisingly few people. The limited period of construction is the principal benefit to Ontarions, and we all know that Ford is all about the construction industry. Once DCs are in operation, then average citizens are left to deal with the higher electricity costs. Also, it is my understanding that nearby residents and employees in businesses are subject to respiratory issues. This portrays data centres as prime candidares for on-site solar and housed battery storage. At least part if the power draw can be offset by clean independent renewables as part if the project. Our grid isn’t up to the increase and greening of power generation required by upcoming 21st Century energy draws. Data centres, green steel, critical mineral and metal smelting, transportation, construction...these need significantly more clean electricity if we are truly motivated to fully address climate change and public health. Data centres do not require carbon fuels to operate. Using them is a choice. There are viable alternatives. Costs can be subsidized and subsidies can contain deadlines and emissions decrease performance milestones. It’s the lack of jobs that makes me shrug at the news; it won’t make much difference to anybody but a few investors in the 1%. But my main comment is to take it slow and get the money up front, absolutely don’t give them anything, not even tax breaks. They’re a risky investment because enough are being proposed for about 300% of the largest possible need. The move to more gas-fired energy, will make these data-centre projects increasing carbon-intensive. Considering the large energy subsidies associated with our expensive nuclear refurbishments, most of which are going straight to the provincial debt, it’s foolish to supply subsidized power to these projects. If the province had regulations that required these data-centres to operate on renewable power only as a result of major renewables expansion initiatives underway, and was pricing the power to these data-centres so as to make a profit for the province to help pay-down the provincial debt, and to provide significant benefit to local municipalities and residents of the regions affected, then maybe hosting a major influx of data-centres would make sense, but we’re seeing none of that. Just a lot of secrecy from the

regulators and the government. Ontarians deserve such poor public management when they continue to re-elect this present government.